

CONTRACT OF LEASE

This Contract of Lease made and entered by and between:

COMMON GROUND FOOD SPECIALISTS INC., a corporation duly organized and existing under and by virtue of the laws of the Philippines, domiciled and with postal address at 2486 Taft Avenue, Brgy 93, Pasay City, being represented herein by its President, LINFRED HANS G. YAP by virtue of the powers conferred upon him (hereinafter referred to as the "LESSEE")

-and-

MATCHANESE INC., a corporation duly organized and existing under and by virtue of the laws of the Republic of the Philippines, with principal office at UNIT 4506 EDADES TOWER, AMORSOLO DRIVE, ROCKWELL, POBLACION MAKATI CITY, and represented in this act by its President, CRISTOPHER DAVID, its Director, BEATRICE GRACE BOLDO, and its Treasurer, PAUL MARTIN DAVID by virtue of the powers conferred upon them (hereinafter referred to as the "SUB-LESSEE");

WITNESSETH:

For and in consideration of the payment of rents and other sums due hereunder, and the faithful compliance with all the conditions and covenants hereinafter contained, the LESSEE hereby leases, lets, and demises unto the SUB-LESSEE, and the latter does hereby accept under lease, floor space constituting the Leased Premises, as shown in the attached sketch plan marked as Annex A which is made an integral part of this Contract.

This lease is granted by the LESSEE and accepted by the SUB-LESSEE subject to the following terms, covenants, conditions and restrictions.

ARTICLE 1 - DEFINITIONS AND INTERPRETATION

1.1 **Definitions:** As used herein, the following terms shall have the following respective meanings:

"**Lessor**" shall refer to SM KEPPEL LAND INC., a corporation duly organized and existing under and by virtue of the Laws of the Philippines, domiciled and with postal address at THE SM KL Podium, ADB Avenue corner Julia Vargas Avenue, Ortigas Commercial, Mandaluyong City, 1550, which legally owns and operates The Podium Mall in Ortigas.

"**Food Hall**" shall refer to Corner Market Food Hall, a commercial space within Podium Mall in Ortigas, Mandaluyong City.

"**Common Areas**" refer to all areas and facilities in Food Hall installed and provided by the LESSEE at its own expense and designated by the LESSEE for the general use and convenience of all SUB-LESSEES in the Food Hall, their respective employees, customers and guests.

"**Force Majeure**" shall mean an act, event or cause which is unexpected or unforeseen, or if foreseen, must be impossible to avoid, or which is beyond the control of the LESSOR, LESSEE or the SUB-LESSEE. This term includes rebellion, insurrection, labor unrest, lockout, work stoppage, strikes on a citywide or nationwide scale, flood, typhoon, earthquake, robbery, theft, terrorism, or any other crime.

"**Leased Premises**" shall refer to the area specifically described in Annex A.

1.2 **Interpretation:** The following rules shall be observed and applied in this Contract, except when the context clearly indicates otherwise: (a) the masculine gender includes the feminine and neuter, and vice versa; and (b) the singular number includes the plural, the plural singular.

1.3 **Headings:** The headings or titles of each Article or sub-article herein are used for convenience only, and do not in any way control, limit or qualify the actual text or meaning of each Article or sub-article.

ARTICLE 2 - LEASE TERM AND DELIVERY OF LEASED PREMISES

2.1 **Term:** This lease shall be for a term specified in Annex B. Unless otherwise renewed under the conditions established hereunder, this lease shall not be deemed extended beyond the date specified herein for its termination for any reason whatsoever. There shall be no tacit renewal of this Contract, notwithstanding the continuation of the SUB-LESSEE in the possession of the Leased Premises for any length of time after expiration of the term of this lease.

This lease may be renewed for a period specified in Annex B, upon the written agreement of the LESSEE and the SUB-LESSEE and under such terms and conditions as may be acceptable to them; provided that, the SUB-LESSEE shall have faithfully complied with all the terms of this Contract, and the SUB-LESSEE shall notify the LESSEE in writing of its desire to renew the lease at least ninety (90) days prior to its expiration. In the event that the LESSEE and SUB-LESSEE are unable to agree on the terms and conditions under which this lease shall be renewed within the ninety-day period prior to the expiry of this lease, then this lease shall automatically terminate and the LESSEE shall be entitled to the rights granted under this Contract by reason of such termination.

2.2 **Delivery of Leased Premises:** The LESSEE shall deliver to the SUB-LESSEE physical possession of the Leased Premises in "as is" condition on or before the date specified in Annex B for the delivery of the Leased Premises to the LESSEE. On or before the Rental Commencement Date, the SUB-LESSEE shall complete any and all works necessary to render the Leased Premises suitable for use in accordance with the plans and specifications approved by the LESSEE.

If the LESSEE is unable to transfer physical possession of the Leased Premises to the SUB-LESSEE on or before the date specified in Annex B for the delivery of Leased Premises due to (i) the refusal of a prior SUB-LESSEE to vacate the Leased Premises notwithstanding the termination of the lease term agreed upon between such prior SUB-LESSEE and the LESSEE, or (ii) any other reason beyond the control of LESSEE, the LESSEE shall not be subject to any liability for the failure to deliver the Leased Premises to the SUB-LESSEE on the date specified therefore in Annex B. Neither shall such failure affect the validity of this lease or the obligations of the SUB-LESSEE hereunder; provided that, the Rental Commencement Date shall be deferred to a date to be determined by the LESSEE and made known to the SUB-LESSEE via written notice.

ARTICLE 3 - EXTENT AND USE OF THE LEASED PREMISES

3.1 **Use:** The Leased Premises shall be used by the SUB-LESSEE itself only for the uses specified in Annex B and in accordance with the Master Deed with Deed of Restrictions of the LESSOR as may be amended from time to time. The SUB-LESSEE shall not divert the Leased Premises to other uses, without the prior written consent of the LESSEE, it being expressly agreed that if, at any time during the term of this lease and without the previous written consent of the LESSEE, the said premises are used for purposes other than what has been agreed upon, the LESSEE shall have the option to (a) cancel this Contract in accordance with Article 11 hereof and the LESSEE shall and thereupon become entitled to exercise all the rights provided hereunder; (b) increase the Fixed Rent; or (c) compel the SUB-LESSEE to stop the unauthorized activities.

3.2 **Conduct Of Business:** The SUB-LESSEE shall at all times, during the term of this lease, conduct its business in a reputable manner in accordance with the urban design quality of the Food Hall and the business and operating standards of a first-class Food Hall. All the government

permits or licenses which are necessary or appropriate for the conduct of business by the SUB-LESSEE in the Leased Premises shall be obtained by the SUB-LESSEE and shall be maintained by the SUB-LESSEE for the duration of the lease term, and all costs and expenses to be incurred in connection with these permits or licenses shall be for the account of the LESSEE.

3.3 Common Use: The lease of the Leased Premises from the LESSEE shall include the use in common by the SUB-LESSEE and other lessees of the Common Areas as far as the same are necessary for the use or enjoyment of the Leased Premises and subject to the right of the LESSEE to restrict such use in any way.

3.4 Exclusive Rights Of LESSEE: The grant of this lease shall not prejudice or adversely affect the following exclusive and absolute rights of the LESSEE to the extent specified below:

- (a) to provide for the free and uninterrupted passage and running of water, drainage, electricity, telecommunications or other public utilities or services through the installation of conduits, pipes, wires, cables or ducts as are now or may be hereafter be installed in, on or under the Leased Premises, serving or capable of serving the Food Hall or any adjoining property, and to enter the Leased Premises to inspect, repair or maintain such conduits, pipes, wires, cables or ducts;
- (b) to enjoy subjacent and lateral support from the Leased Premises for the remainder of the Food Hall;
- (c) to name or re-name the Food Hall with any such style or name and from time to time, to change, alter, substitute or abandon any such name, without compensation to the SUB-LESSEE or the other tenants of the Food Hall; provided that, the LESSEE shall give the SUB-LESSEE not less than two (2) months' prior written notice of the LESSEE's intention to do so;
- (d) to improve, change, alter, extend, reduce, add or otherwise deal with the arrangement, design or decoration of the Common Areas, provided that in exercising such right the LESSEE will endeavor to cause as little inconvenience to the SUB-LESSEE as practicable under the circumstances;
- (e) to make, impose, adopt, supplement, abolish or amend such regulations as it may consider necessary for the management, operation or maintenance of the Food Hall, or the operation and use of the Common Areas, entrances or exits in the Food Hall;
- (f) to appoint, ratify or confirm any person or firm to manage and administer the Food Hall and to delegate to such person or firm the power to adopt rules and regulations as it shall deem necessary for the management, maintenance or operation of the Food Hall, and to implement the rules and regulations adopted by the LESSEE pursuant to Article 3.4 (f), and for this purpose, any notice, act, decision, forbearance or consent required to be given or done hereunder shall be fully and effectively done or given if expressed to by or on behalf of such person or firm; and
- (g) to undertake the improvement of the Food Hall or any development work in an adjoining lot, within the vicinity of the Food Hall or within the area of the Food Hall, in such a manner as to cause the least inconvenience to the LESSEE, its employees, guests, customers and clients, and for this purpose, the SUB-LESSEE shall not hold the LESSEE liable for any resulting disturbance or discomfort arising out of such development work or improvement.

3.5 Extent Of Leased Premises: This lease does not extend to the outside portions of the Food Hall corresponding to or opposite the Leased Premises. The Common Areas within the Food Hall are likewise not part of the Leased Premises, and no merchandise or other property of the SUB-LESSEE shall be placed therein or thereon. The LESSEE shall have the right to cause the removal of merchandise or other property belonging to the SUB-LESSEE found on or within the corridors, hallways or other Common Areas and charge the cost of removal, handling and storage (if necessary) to the LESSEE.

3.6 No Goodwill: The grant to the SUB-LESSEE of the physical possession, use and enjoyment of the Leased Premises confers no goodwill or patronage rights over the Leased Premises to the SUB-LESSEE, it being recognized that such rights have been exclusively awarded by the LESSOR, as owner of the Leased Premises, to the LESSEE. Neither shall the SUB-LESSEE have any right to sell or dispose of said goodwill or patronage rights to any person.

ARTICLE 4 - RENT AND OTHER PAYMENTS

4.1 Rent: The commencement of the obligation of the SUB-LESSEE to pay rent and the determination of the amount of rent due from the SUB-LESSEE shall be governed by the provisions of Annex B. The rent shall be liquidated and paid on a monthly basis in accordance with the provisions of Annex B at the principal office of the LESSEE or at such other place as LESSEE may by notice in writing to SUB-LESSEE from time to time direct, without necessity of demand or the performance by a collector of collection services. Payment of rentals shall be made either in cash or in check made payable in the name of *Common Ground Food Specialists Inc.*, The receipt of a check in payment of the rentals due hereunder shall not produce the effect of payment until the amount thereof is actually received in good cleared funds.

Payment of rentals shall be made net of the required withholding tax on rentals. The SUB-LESSEE shall remit the taxes withheld directly to the Bureau of Internal Revenue and shall indicate in the creditable withholding tax return to be filed with the latter that the taxes being withheld are to be credited to the LESSEE. Proof of such remittance shall be submitted to the LESSEE within three (3) business days from such remittance. It shall be understood, however, that the LESSEE shall have the right at any time during the lease term or renewal thereof to designate a different manner of payment of the rentals due hereunder, including designating another party to whom the payment of such withholding taxes shall be credited.

4.2 Taxes: In the event that at any time during the term or renewal of this lease, the real property tax on the Food Hall is increased or there is levied any new or additional assessment or charge on the Food Hall, then the Rent in force on the date the real property tax, assessment or charge is increased or imposed, shall likewise be increased in direct proportion to the increase in or additional real property taxes, assessment or charge.

Other than the LESSEE's income taxes or taxes required to be withheld from the rental due to the LESSEE which shall be credited against its income taxes, all taxes due by reason of the receipt of rental and all other amounts which the SUB-LESSEE is required to pay the LESSEE as provided hereunder, as well as the documentary stamp taxes or other taxes accruing by reason of the execution of this Contract shall be for the account of the LESSEE.

4.3 Construction Bond: Prior to any construction or renovation of the Leased Premises, the SUB-LESSEE shall submit a cash construction bond with a face amount equal to the amount specified in Annex B as security for the repair or reconstruction of any damage caused to the property of the LESSEE or of any tenant or occupant in the Food Hall arising out of or in connection with the fault or negligence of the contractors, suppliers or workers undertaking such construction or renovation or the failure of the SUB-LESSEE to comply with the LESSEE's Construction Guidelines and House Rules, and all other requirements prescribed by the LESSEE for the performance of such construction or renovation work. The construction bond shall be returned to the SUB-LESSEE without interest after the completion of construction or renovation work, less any construction-related charges due to the LESSEE, subject to the LESSEE's compliance with all the conditions specified for the return of the bond under the Construction Guidelines and House Rules.

4.4 Additional Security: On the date specified in the applicable statement of account to be sent by the LESSEE, the SUB-LESSEE shall provide the LESSEE with additional security in cash in an amount specified in Annex B to answer and stand as security for the proper and due performance of all the LESSEE's obligations under this Contract. The existence of such security, however, does not and should not excuse the LESSEE's non-payment of rent on a regular monthly basis, or of any other sum required to be paid hereunder on the due date specified therefore. The additional security shall be maintained by the SUB-LESSEE at the level specified in Annex B, and shall also be increased correspondingly by the SUB-LESSEE as and when the Rent increases. Such increase shall be payable on the due date specified in the applicable statement of account.

The security referred to in this Article shall be forfeited in favor of the LESSEE upon the occurrence of the following events: (i) the SUB-LESSEE fails to occupy the Leased Premises for the full term of the lease or any extension or renewal thereof, or (ii) this Contract is terminated by the SUB-LESSEE for whatever reason prior to expiry date of its term. Upon the occurrence of any of these events, the security (or the balance thereof which should otherwise have been returned to the SUB-LESSEE had such termination not have occurred) shall be forfeited in favor of the LESSEE, in addition to whatever damages which may be due to the LESSEE arising from the failure of the SUB-LESSEE to occupy the Leased Premises or due to the termination of this Contract. In the event, however, that this lease is terminated at the instance of the LESSEE without any fault or negligence of the SUB-LESSEE but with its conformity, the security shall be returned to the LESSEE, net of the amounts which may be deducted there from under this Article.

The security shall be returned to the LESSEE, without interest, only after the expiration of the term of this lease and after the SUB-LESSEE shall have completely and satisfactorily vacated and delivered the Leased Premises to the LESSEE, less whatever amounts the SUB-LESSEE may owe the LESSEE or which the LESSEE may apply against the security as provided hereunder. It shall be understood, however, that the application of the security against any unpaid obligation of the SUB-LESSEE shall be effected only at the termination of the lease. The LESSEE shall, notwithstanding the delivery of the Leased Premises to the LESSEE by the LESSEE, have the right to withhold any portion of the security until the LESSEE shall have received statements of account from utility companies supplying telephone, water, electric power or public utility services to the Leased Premises, covering the period ending on the date the SUB-LESSEE shall have completely vacated and delivered the Leased Premises to the LESSEE. The amount withheld shall answer for the payment of such statements of account and the balance thereof remaining with the LESSEE after such payment shall be returned to the SUB-LESSEE without interest. Likewise, should the SUB-LESSEE have any other obligation which remains due and unpaid under any other contract with the LESSEE, the LESSEE shall have the right to apply the amount of these unpaid obligations against the security in settlement thereto upon the termination of the lease.

4.5 Inflation Or Deflation: Should extraordinary inflation or deflation of the currency of payment as stipulated hereunder supervene during the effectivity of this Contract, the value of the currency on date hereof shall be the basis of payment as provided in Article 1250 of the Civil Code of the Philippines.

4.6 Interest And Penalty: Without prejudice to the exercise by the LESSEE of its rights under the penal provisions herein, the SUB-LESSEE shall pay to the LESSEE interest on the principal amount of rent and other charges or amounts herein provided to be paid by the SUB-LESSEE that is not paid or tendered on time, at the rate of 2% or at the maximum prevailing interest rate allowed by law to be determined by the LESSEE at the time the obligation is due if said maximum prevailing rate is higher than 2% per month, to be computed from the date of delinquency until paid in full.

In addition to the preceding interest charges, all arrears on the principal amount of rent and other charges shall be subject to a penalty at the rate of 3% per month, to be computed from the date of delinquency until fully paid.

Interest and penalty charges shall be computed daily and shall apply to any and all arrearages in the amounts herein provided to be paid by the SUB-LESSEE including, but not limited to, rents, utility charges, share in common area charges, and deposits. In case of cancellation or termination of this Contract due to default or breach of its terms, the SUB-LESSEE shall pay the LESSEE all unpaid rents, fees, charges, assessments and reimbursements to which the LESSEE may be entitled.

4.7 General Leasing Expenses: In addition to the payment of rental and other amounts due hereunder, the SUB-LESSEE shall pay on the due date specified in the applicable statement of account for its monthly share in general leasing expenses incurred or to be incurred by the LESSEE in connection with the proper operation and maintenance of the Food Hall and the enhancement of property value therein, at a rate or in an amount specified at Annex B. General Leasing Expenses shall include expenses and other costs incurred in the (i) operation, management, maintenance and repair of Common Areas, such as but not limited to, expenses for the ground maintenance, drainage, electrical facilities, landscape maintenance, janitorial services, pest control services, security, water, air-conditioning and electrical charges; and (ii) expenses incurred in advertising and promotional activities. The obligation of the SUB-LESSEE to reimburse the LESSEE in the former's share in the general leasing expenses shall commence upon the effectivity of this lease or upon turnover of Leased Premises, whichever date comes later.

The rate or the amount specified in Annex B shall be correspondingly increased in the event that the utility company or service agency increases the utility/service charges payable in connection with the service or utility provided to the Common Areas or Leased Premises. The amount of such increase which shall be determined solely by the LESSEE shall be effective and demandable on or during the month in which the increase in the charges shall have been implemented by the utility company or service agency.

4.8 Other Utilities: The deposits, fees, costs or other charges to be incurred for supplying the Leased Premises with power, water, telephone, telecommunications, garbage disposal and other public services or utilities shall be borne by the SUB-LESSEE and shall be based on the actual consumption or use thereof by the Leased Premises. To the extent applicable, the LESSEE may require the SUB-LESSEE to make payment of such deposits, fees, costs or other charges directly to the company supplying the utility or public service. For this purpose, the LESSEE shall be entitled to require the SUB-LESSEE to install an electric meter for the exclusive use of the Leased Premises and effect the payment of charges for electrical consumption directly to the public utility company concerned. Should such direct payment be not feasible in the opinion of the LESSEE, then the LESSEE shall determine the liability of the SUB-LESSEE for such deposits, fees, costs or other charges on the same basis which utility or service companies use in determining the LESSEE's liability to such companies for supplying such utilities or services to the Food Hall. The LESSEE shall be entitled to charge the SUB-LESSEE a reasonable service charge for the administrative services relative hereto, whether or not payment by the SUB-LESSEE of such deposits, fees, costs or other charges shall be made directly to the public utility companies. The service charge shall be made payable on the due date specified in the applicable statement of account. Reimbursement for or payment of deposits, fees, costs, or other charges for the use or consumption of water, electricity or other utilities for the Leased Premises which are not paid directly to the utility companies during any given month will be payable to the LESSEE on the due date specified in the applicable statement of account.

4.9 Lien: Unpaid rents and charges payable by the SUB-LESSEE to the LESSEE under this Contract shall constitute a preferred lien on all personal properties of the SUB-LESSEE found or located in the Leased Premises in accordance with Articles 2241 and 2243 of the Civil Code. For this purpose, the LESSEE is hereby authorized to prevent the removal of the said properties from the Leased Premises or demand their return from any possessor thereof.

4.10 Application of Payments: The following rules shall govern the application of payments made by the LESSEE: (a) any payment received by the LESSEE shall be applied against and for the payment of the amounts payable and accruing under the statement of account or billing with the earliest date, irrespective of any instruction of the SUB-LESSEE to cause the application of such payment for a specified statement of account, purpose, nature, item or amount; and (b) in the event that the amounts due and payable representing rent, interest, penalty or other charges are covered by one statement of account or billing, then the payment received by the LESSEE which is to be applied to such statement of account or billing shall be applied in the payment of obligations stated therein in the following order of priority: (i) any deficiency in the security deposit, (ii) performance bond, (iii) construction bond, (iv) utilities such as but not limited to electricity, air-conditioning and water charges, (v) common area charges, (vi) advertising and promotional charges, (vii) rent, and finally (viii) interest and penalty. Should the payment received by the LESSEE be insufficient to completely settle any outstanding obligation, whether covered in one statement of account or billing or otherwise, then subsequent payment(s) to be received from the SUB-LESSEE shall be applied first in the payment of any amount remaining unpaid under the statement of account or billing with the earlier date.

ARTICLE 5- COMMON AREAS

5.1 Use Of Common Areas: During the term of this lease, the SUB-LESSEE and its respective employees, agents, customers and guests shall have the NON-EXCLUSIVE right to use the Common Areas in common with all the other lessees of the Food Hall subject to any rights, powers and privileges reserved to the LESSEE as provided hereunder. The SUB-LESSEE shall also have the right to use the Common Areas in common with all the other lessees, subject to any rights, powers and privileges reserved to the LESSEE. It is hereby understood that the LESSEE's privilege

to use the Common Areas is not made an integral part of this lease. Consequently, the use by the SUB-LESSEE of such areas may be denied, restricted or regulated pursuant to this Article.

5.2 Operation By The LESSEE: During the term of this lease, the LESSEE shall operate, manage and maintain the Common Areas; provided that, the management, operation and maintenance of specific areas and facilities chosen by the LESSEE in the Common Areas may be assigned or delegated by the LESSEE. The manner in which the Common Areas shall be maintained, operated and managed, and the amounts to be spent for such maintenance, operation and management, shall be subject to the sole discretion of the LESSEE. The LESSEE shall have the right from time to time to promulgate rules and regulations governing the use of the Common Areas by the lessees of the Food Hall, their agents, customers and guests, and shall have the right to restrict or deny the use of or access to any part of the Common Areas, to such extent as may be legally sufficient in the opinion of the LESSEE's counsel, to prevent a dedication thereof, or the accrual of rights of any person or of the public therein, or for any reason which the LESSEE believes shall redound to the benefit of all or some of the lessees in the Food Hall.

ARTICLE 6 - PUBLIC UTILITIES AND SERVICES

6.1 Installations: The Leased Premises shall be provided with necessary connections for water and electrical utilities. The SUB-LESSEE may, if it so desires, request the LESSEE for the installation at the LESSEE's expense of air-conditioning units, additional comfort rooms or other public utility fixtures or facilities, including without limitation, electric, water, telephone fixtures or facilities. The LESSEE may choose to deny or approve such request at its discretion or subject its approval of the same to such conditions as the LESSEE may impose. All permits which may be required for the installation and operation of these additional fixtures and facilities when so approved by the LESSEE, shall be obtained and maintained by the SUB-LESSEE at its expense. The SUB-LESSEE shall at all times keep in good order, condition and repair the electrical and other mechanical equipment within or serving the Leased Premises and to pay for their maintenance and electric consumption. The SUB-LESSEE shall also be responsible for the payment of all charges, costs, expenses, dues, assessments, levies, taxes or insurance premiums which may be imposed or collected in connection with the installation, operation, repair or maintenance of such additional fixtures and facilities. The SUB-LESSEE shall comply with all the rules, regulations and requirements imposed by the appropriate government agencies or public utility companies in connection therewith.

For the purpose of obtaining the prior approval of the LESSEE for the installation of air-conditioning units, additional public utility or public service facilities in the Leased Premises, the SUB-LESSEE shall submit to the LESSEE, the necessary plans and specifications for the installation of the said air-conditioning units, facilities or fixtures. Such installation should be made by a licensed electrician or technician approved or employed by the LESSEE in such a way as to cause no injury to the Leased Premises or the Food Hall. The LESSEE reserves the right to require the SUB-LESSEE to use the LESSEE's building contractor for any renovation of the Leased Premises when in the LESSEE's best judgment, the proposed renovation may adversely affect any of warranties or guarantees given by any of the contractors of the Food Hall. Any resulting additional electrical or structural load must be within the maximum electrical or structural capacity of the Leased Premises.

The LESSEE and any duly authorized public utility or service entity shall be allowed free access to and entry into the Leased Premises for the purpose of installing, inspecting or repairing generators, electrical apparatus, communication facilities, electric poles, metal alley arms and all the accessories and appurtenances connected therewith, or performing all other acts necessary to ensure public safety and the preservation of the utility lines and facilities.

6.2 Emergency Power: The LESSEE has the option to install and operate a power generator for the Food Hall. Should the LESSEE exercise such option, the SUB-LESSEE shall pay the LESSEE a service charge for the operation and maintenance of the power generator at the rate fixed by the LESSEE. The service charge shall be paid for by the SUB-LESSEE on the date specified in the applicable statement of account and shall be subject to the same interest and penalty specified under Article 4.6.

6.3 Disconnection Of Utilities: In the event that the SUB-LESSEE fails to pay for the charges or fees incurred in connection with the supply, consumption and use of air-conditioning, telephone, telex, facsimile, telecommunications, electricity, water and other public services and utilities to the Leased Premises for a period of two (2) consecutive months, the LESSEE shall have the right to disconnect or discontinue the supply thereof for such period as it shall determine. This right shall be in addition to its other rights provided for in Article 11.2.

ARTICLE 7 - LESSEE'S ADDITIONAL COVENANTS

The SUB-LESSEE agrees that in addition to its other undertakings under this Contract, and unless it has obtained the prior written consent of the LESSEE for the performance of an act or deed which is otherwise prohibited under this Contract:

7.1 Assignment Or Transfer: The SUB-LESSEE shall not assign or transfer its rights under this Contract, nor sub-lease all or any part of the Leased Premises or enter into any arrangement whereby the use or possession of any part of the Leased Premises is transferred to any person, irrespective of whether rental or other consideration is given therefore. No right, title or interest to, in and under this Contract or the Leased Premises shall be deemed conferred or vested in any person other than the LESSEE, to the extent specified herein, without the LESSEE's prior written consent.

7.2 Mortgage: The SUB-LESSEE shall not mortgage, encumber or create any security interest in and to the leasehold rights granted hereunder to the LESSEE.

7.3 Notices And Signs: The SUB-LESSEE shall not affix, inscribe or paint, or cause the affixing, inscribing or painting of, any notice, sign or other advertising media on any part of the Leased Premises or Food Hall, including any sign or media which when illuminated shall be visible from outside the Leased Premises or which, in the opinion of the LESSEE, is of a lewd, obscene or otherwise offensive nature. If so allowed by the LESSEE, the sign or media shall be of such size and style as the LESSEE may determine. Neither shall the SUB-LESSEE permit or give consent to any person or entity to affix, inscribe or paint any notice, sign or other advertising media on the Leased Premises or on any part of the Food Hall, as if said person or entity uses, holds office or is otherwise established at the Leased Premises or any part thereof. Only the name and nomenclature of the SUB-LESSEE as set out in this Contract shall be advertised in the directory of lessees to be maintained at the expense of the LESSEE. The LESSEE shall have the right to require the SUB-LESSEE to remove any sign which the LESSEE may consider to be inappropriate. Upon failure of the SUB-LESSEE to do so, the LESSEE shall have the authority, without incurring any liability, to enter the Leased Premises, remove any sign/s it may consider inappropriate, and charge the costs thereof to the LESSEE.

7.4 Name Of The Food Hall: The SUB-LESSEE agrees that the LESSEE's name or the name of the Food Hall shall not be used in any confusing, detrimental or misleading manner in connection with the LESSEE's own business or trade name, and upon termination of this lease, the SUB-LESSEE shall cease to use the name of the Food Hall or any part thereof in any manner, whether in connection with the LESSEE's own business or trade name or otherwise.

7.5 Alterations, Additions Or Improvements: The SUB-LESSEE shall not make any alteration, addition or improvement within the Leased Premises or in any of the Common Areas or effect the installation of any fixture required by the conduct of its business, without the prior written consent of the LESSEE and then subject to such terms and conditions as may be imposed by the LESSEE as it deems fit. All alterations, additions or improvements made by the SUB-LESSEE as well as any alteration, improvement, addition or installation in or on the Leased Premises shall be done in good workmanlike fashion and at the LESSEE's cost. All building, architectural, engineering, conceptual plans and specifications for any alteration, addition or improvement shall be submitted to the LESSEE for its approval at least thirty (30) days prior to the commencement of work on any such alteration, addition or improvement. The LESSEE reserves the right to require the SUB-LESSEE to use the LESSEE's building contractor for any renovation of the Leased Premises when in the LESSEE's best judgment the proposed renovation may adversely affect any of the warranties or guarantees given by any of the contractors of the Food Hall. The approval by the LESSEE of such alterations, additions or improvements shall in

no event relieve the SUB-LESSEE from the responsibility of obtaining all the necessary permits and licenses pertaining to such alterations, additions, improvements or installations or from paying the necessary taxes, insurance premium or fees as shall be necessary or appropriate in connection therewith. The SUB-LESSEE shall give all the notices required and shall comply with all ordinances, rules and regulations issued by governmental agencies and public utility companies having jurisdiction over the same. For purposes hereof, the SUB-LESSEE shall submit to the LESSEE the construction bond as required by Article 4.3 prior to the start of any construction or renovation of the Leased Premises.

All such alterations, additions or improvements made by the SUB-LESSEE, as well as any alteration, improvement or installation placed in or on the Leased Premises by the SUB-LESSEE, except movable furniture and fixtures placed in the Leased Premises at the expense of the SUB-LESSEE and removable without defacing or injuring any ceiling, floor, wall or any portion of the Food Hall or the Leased Premises, shall become the property of the LESSEE at the expiry or termination of this lease, and shall remain upon and be surrendered with the Leased Premises as part thereof without compensation for their value to the SUB-LESSEE.

7.6 Drilling Or Defacing: The SUB-LESSEE shall not make, permit or suffer any act, installation, alteration or addition to be made or done in or to the Common Areas, Leased Premises or any part of the Food Hall which may cause permanent damage thereof, including without limitation, any cutting, maiming, marking, defacing or drilling into or of any part of the Food Hall, Leased Premises or Common Areas. Any such works that the SUB-LESSEE may wish to do, shall require express approval of LESSEE.

7.7 Load Limitations: The SUB-LESSEE shall not install or place any load, apparatus, equipment, article or thing in any part of the Leased Premises, the weight or location of which in the Leased Premises will violate the maximum load limitation for the Leased Premises as determined by the LESSEE for the floor of the Food Hall where the Leased Premises is located. For this purpose, the SUB-LESSEE shall obtain the prior written approval of the LESSEE for the entry and/or removal of any load, apparatus, equipment, article or thing into and from the Leased Premises. The SUB-LESSEE shall also comply with the requirements imposed by the LESSEE for keeping such equipment, load or apparatus within the Leased Premises, including the use of supports of such dimension and material to distribute the weight of such equipment load or apparatus as the LESSEE may deem necessary. Neither shall the SUB-LESSEE install, without the prior written approval of the LESSEE, any air-conditioning equipment in the Leased Premises (which shall use only the air-conditioning equipment provided by the LESSEE) nor any other plant, equipment, apparatus or machinery which requires additional wiring or which consumes electricity not metered through the electric meter from which the LESSEE's consumption of electricity is calculated. The SUB-LESSEE shall not permit, suffer or cause any act to be done whereby the maximum allowable voltage capacity of the Leased Premises shall be exceeded.

7.8 Shades, Awnings, Blinds: The SUB-LESSEE shall not hang, fix or erect any shades, awnings, blinds or window guards of any description, shelters or coverings, wire or aerial wiring, supports, iron brackets or any other thing on any part of the Food Hall, including the roof or exterior wall of the Leased Premises.

7.9 Use Of Leased Premises Or Common Areas: The SUB-LESSEE shall not use, cause or permit the use of the Leased Premises or Common Areas in any improper manner for any purpose other than that for which they are respectively intended. Without limiting the generality of the foregoing, the SUB-LESSEE shall not use or permit the Leased Premises or Common Areas to be used as sleeping quarters or domestic premises or allow any person to remain in the Leased Premises overnight, nor allow the Leased Premises or the Common Areas to be used for drying laundry, hanging or storing any article or thing thereon. The SUB-LESSEE shall not allow the Leased Premises or Common Areas to be used by any person for canvassing, peddling, touting or soliciting for business or distributing any booklet, pamphlet and advertising material or for any illegal or immoral purpose, or in any manner which may provide basis for the imposition of a fine, forfeiture or penalty against the LESSEE under the applicable law. Neither shall the Leased Premises be used for the manufacture or storage of goods, articles or things, other than storage of goods for the purpose of and in quantities consistent with the LESSEE's business as carried on at the Leased Premises, or keep, store or permit or suffer to be kept and stored any dangerous goods or other explosive or hazardous substance. No auction, fire, bankruptcy, close-down or similar sales of a retail business nor any other unethical type of business operation shall be conducted in the Leased Premises.

7.10 No Obstruction Of Common Areas: The sidewalks, entries, passages and corridors of the Food Hall shall not be obstructed or used by the SUB-LESSEE for any purpose other than for ingress to or egress from the Food Hall. No disturbing, noisy or improper activities shall be allowed to be carried therein or thereon, using loud speakers, television, phonographs, radios, or other devices which will be in any manner audible or visible outside the Leased Premises without the prior written consent of the LESSEE. In no instance shall the SUB-LESSEE place boxes, cartons, packages, refuse, dust bins, garbage cans, furniture or chattels in the Common Areas, which should be kept free and clear of all obstructions at all times. For purposes hereof, the LESSEE shall, in addition to its other remedies as provided hereunder or in law, be entitled without notice and at LESSEE's expense, to remove, store or dispose of any such obstruction as the LESSEE shall see fit, without incurring any liability to the LESSEE. The SUB-LESSEE shall on demand pay or reimburse the LESSEE for all the expenses incurred in such removal or storage.

7.11 Loading And Unloading Of Goods: The SUB-LESSEE shall load and unload cargoes, goods, articles or things only during such hours and through such entrances and routes as shall be determined by the LESSEE from time to time.

7.12 Maintenance Of Leased Premises: The SUB-LESSEE shall well and sufficiently preserve, repair and maintain in good, clean, tenantable condition (reasonable wear and tear excepted), at its own cost, the interiors of the Leased Premises, including the flooring, interior plaster or other finishes, doors, windows, cables, conduits, wirings, sockets, electrical installations and plumbing fixtures found in or about the Leased Premises. All windows, glass or plate glass of or in the Leased Premises broken or damaged by the SUB-LESSEE due to the fault or negligence of the LESSEE, its guests, employees or agents shall be replaced at the cost of the LESSEE. The Leased Premises and all additions and installations supplied by the LESSEE shall be kept in good clean working condition and repair (reasonable wear and tear excepted). The SUB-LESSEE shall provide itself, at its cost and expense, with receptacles to hold and contain waste matter, garbage and refuse; shall keep the same in securely sealed containers and shall dispose of such garbage on a daily basis in the manner prescribed by the LESSEE. It shall keep drains, pipes, sanitary or plumbing apparatus, used exclusively by the LESSEE, its employees, guests, clients or customers in good clean and tenantable condition (reasonable wear and tear excepted) and in accordance with the requirements imposed by regulations of governmental authorities and the LESSEE. The SUB-LESSEE shall pay the LESSEE for all costs in cleaning, repairing or replacing any of the same when found to be blocked or stopped owing to the careless and improper use or neglect thereof by the SUB-LESSEE, its employees. The LESSEE shall well and sufficiently preserve, repair, and maintain in good, clean, tenantable condition, the Common Areas as defined under this Contract of Lease.

7.13 Increase In Insurable Risk: The SUB-LESSEE shall not use the Leased Premises, the Food Hall or any part thereof in any manner which will cause insurance policies of the Leased Premises or the Food Hall against loss or damage caused by fire, storm, typhoon or other insurable perils and/or claims by third parties to be rendered void and voidable, or whereby the premium due thereon may be increased; provided that, if as a result of any act, deed, matter or thing done or permitted by the LESSEE, the premium on any such insurance policy is increased, the LESSEE shall be entitled, without prejudice to any other remedy hereunder, to recover from the SUB-LESSEE the amount of such increase and shall be indemnified by the SUB-LESSEE against all claims, losses, damages or claims sustained or made against the LESSEE by any person as a result of a breach of this Article.

7.14 Nuisances: The SUB-LESSEE shall not permit or suffer to be permitted any music or noise to emanate from the Leased Premises which in the reasonable opinion of the LESSEE may constitute a nuisance or annoyance or give cause for reasonable complaint from the LESSEE or other lessees. Neither shall it permit any odor or noxious smell which is in the sole opinion of the LESSEE offensive or unusual, to emanate from the Leased Premises, nor keep or suffer to be kept any animals or pets inside the Leased Premises.

7.15 Protection Against Pests: The SUB-LESSEE shall take all such steps and precautions at its own cost to prevent the Leased Premises from becoming infested with termites, rats, mice, cockroaches or other pests or vermins. For this purpose, it agrees to utilize the services of the pest control agency recommended by the LESSEE to provide pest control services for the Leased Premises.

7.16 **Compliance With Rules:** The SUB-LESSEE shall obey and comply with the Contract of Lease of Corner Market Food Hall, Construction Guidelines Merchant Guidelines, and House Rules, and with such rules and regulations as may from time to time be imposed, adopted, introduced or amended by the LESSEE, the person or firm appointed under Article 3.4(g) or the appropriate government agency.

7.17 **Permit To Enter:** The SUB-LESSEE shall permit the LESSEE, public utility companies and their authorized representatives at reasonable times to enter the Leased Premises for the purpose of undertaking the repair and maintenance of utilities, facilities and other structural elements used or shared in common by the SUB-LESSEE with the other lessees of the Food Hall, inspecting the condition of the Leased Premises or for determining the LESSEE's compliance with this Contract. The LESSEE shall be entitled without incurring any liability whatsoever, in the event of an emergency to enter the Leased Premises as the LESSEE's attorney-in-fact, to undertake the necessary repairs or conduct the inspection thereof for the protection of the Leased Premises and the Food Hall.

7.18 **Inspection Prior To Expiry Of Lease:** During the last three (3) calendar months immediately preceding the expiration of the term of this lease, the SUB-LESSEE shall allow, during business hours and upon prior written notice, the LESSEE's authorized representatives and prospective tenants to inspect the Leased Premises. During such period, the LESSEE may exhibit, where it shall think fit, a notice offering the Leased Premises for lease, which the SUB-LESSEE shall not conceal in any way.

7.19 **Condition Of Leased Premises:** At the option of the LESSEE, the SUB-LESSEE agrees to return and surrender the Leased Premises at the expiration of the term of this lease in the same condition as it was found at the commencement of this lease (reasonable wear and tear excepted), without any delay whatsoever, devoid of all occupants, furniture, articles and effects of any kind, other than the alterations, additions or improvements which pertain to the LESSEE in accordance with Article 7.5. The SUB-LESSEE shall repair any damage caused to the Leased Premises which cannot be accounted for by reasonable wear and tear and restore the Leased Premises to the condition it was found at the commencement of this lease to the satisfaction of the LESSEE. All keys giving access to all parts of the Leased Premises and/or the Common Areas (as applicable) shall be returned to the LESSEE, and all expenses incurred in removing from the Leased Premises or Food Hall, the names, posters, signboards, decoration or advertising matters relating to the SUB-LESSEE, including any damage caused by such removal, shall be for the account of the SUB-LESSEE.

7.20 **Hold-Over:** If the SUB-LESSEE fails to return the Leased Premises to the LESSEE at the end of the term of this lease, the SUB-LESSEE shall pay the LESSEE, as damages, a sum equal to twice the rental to be paid by the SUB-LESSEE to the LESSEE for the period during which the SUB-LESSEE retains possession of the Leased Premises. The exercise by the LESSEE of its rights under this Article shall not be interpreted as a grant of permission to the SUB-LESSEE to continue in possession of the Leased Premises beyond the term of this lease, and the damages due to the LESSEE hereunder shall be in addition to the damages which may become due to the LESSEE under Article 11.2.

If the Leased Premises are not surrendered at the expiration of the term of this lease, the SUB-LESSEE shall be responsible to the LESSEE for all damages which the latter may suffer by reason thereof and will indemnify the LESSEE against any and all claims made by any succeeding lessee, resulting from the delay in delivering possession of the Leased Premises to such succeeding lessee, to the extent that such delay is occasioned by the failure of the SUB-LESSEE to surrender the premises on time. The LESSEE shall also be entitled to exercise the remedies specified in Article 11.2 hereof.

ARTICLE 8 - REPRESENTATIONS AND WARRANTIES

8.1 **LESSEE's Warranties:** The LESSEE represents, warrants and covenants in favor of the SUB-LESSEE that it is the legal representative of the Leased Premises, as granted by the LESSOR, and has full right, title and interest to grant the lease of the Leased Premises to the SUB-LESSEE for the duration of this contract, and unless otherwise prevented by Force Majeure, it shall maintain the SUB-LESSEE in peaceful possession of the Leased Premises for the entire term of this Contract.

8.2 **Mutual Warranties:** The LESSEE and the SUB-LESSEE represent and warrant in favor of each other that:

- (a) each has full power, authority and legal right to execute, deliver and perform this Contract and has taken all the necessary corporate action to authorize the foregoing;
- (b) this Contract constitutes the legal, valid and binding obligation of the LESSEE and the SUB-LESSEE, enforceable in accordance with its terms; and
- (c) the execution, delivery and performance of this Contract do not and will not violate any provision of, or result in a breach of or constitute a default under any law, regulation or judgment, or violate any agreement binding upon either of them or any of their property.

ARTICLE 9 - INDEMNITIES

9.1 **Limitations On Liability Of LESSEE:** Save by its gross negligence or willful misconduct, the LESSEE shall not be liable or responsible in any circumstance, whether tortious or otherwise, for any damage or disturbance suffered (whether directly or indirectly) by the SUB-LESSEE (whether personally or in respect of the Leased Premises or any contents therein) or by any of its employees, clients, customers or any other persons whatsoever. Without limiting the generality of the foregoing, the LESSEE shall not be liable:

- (a) in respect of any loss, damage or injury sustained by the SUB-LESSEE or any such other person or any of their properties, caused by or through any accident, event or in any way owing to: (i) the failure, quality, inadequacy, fluctuation, interruption, malfunction, explosion or suspension of electricity, water, telephone, telex, facsimile, emergency power or other public utility services supplied to or intended for the Leased Premises or the Food Hall; (ii) any seepage, overflow or leakage of water from any pipe, drain or automatic sprinkler system or any part within the Food Hall or the influx of rain water into the Leased Premises or the Food Hall; (iii) any activity of rats or other pests or vermins in the Food Hall; (iv) any failure or breakage of glass of or in the Leased Premises or the Food Hall; (v) any defect, mechanical breakdown, failure or need for repair, overhaul or any negligent or improper working or operation by any person whomsoever, of the facilities provided for the common use of the lessees of the Food Hall or for the SUB-LESSEE in respect of the Leased Premises; (vi) Force Majeure; (vii) any escape of fumes, smoke, fire or other substances from anywhere within the Food Hall; (viii) any escape of electric current from electric wiring or cable situated upon or in any way connected with the Food Hall or any part thereof, or any vibration from or of any part of the Food Hall or adjoining or neighboring premises; (ix) any act, neglect or default of the SUB-LESSEE or other lessees of the Food Hall or of adjoining neighboring premises, or any of their respective employees, clients, guests or customers; (x) any defective or damaged condition of the Leased Premises or Food Hall or (xi) any violation of the provisions hereof, the Master Deed with Deed of Restrictions of Corner Market Food Hall or the rules and regulations adopted by the LESSEE, person or firm appointed under Article 3.4(g), or by any appropriate government agency in connection of the possession and maintenance of the Leased Premises by the SUB-LESSEE and the conduct of business operations therein; and
- (b) for the security or safekeeping of the Leased Premises or any person or property found therein, including without limitation all furniture, fixtures, fittings, goods, chattels, samples, personal effects, contents or articles delivered to or left in the Leased Premises.

9.2 **Indemnification:** The SUB-LESSEE shall indemnify and keep the LESSEE fully indemnified against all claims, demands, actions and proceedings whatsoever made against the SUB-LESSEE by any person whomsoever arising as a result of or in connection with any loss, damage or injury which the LESSEE shall not be responsible for under Article 9.1 and against all costs and expenses incurred by the LESSEE in respect of such claims, actions or demands unless the cause of the loss or damage is due to the fault or negligence of the LESSEE or any of its authorized representatives. The SUB-LESSEE shall also be responsible for any loss or damage which may be done to the Leased Premises or any part thereof or to Common Areas or to any part of the Food Hall due to the fault or negligence of the LESSEE, its authorized representatives, and its employees.

9.3 **Non-Abatement Of Obligations** - In no event shall the payment of any amount due hereunder whether as rent, Common Area charges or utility charges abate or cease to be payable on account of the occurrence of any of the causes specified above, except to the extent permitted by Article 10.

ARTICLE 10 - FORCE MAJEURE

10.1 **Occurrence Of Force Majeure:** The SUB-LESSEE shall give the LESSEE written notice of any damage caused to the Leased Premises by reason of Force Majeure. If the Leased Premises are rendered inaccessible or destroyed or so damaged by Force Majeure, without any fault or omission of the LESSEE, its employees, guests, customers or clients, the damage shall be repaired at the expense of the LESSEE, and the disturbance or discontinuance in the possession of the Leased Premises by reason of or occasioned during such repair shall confer no right of any kind to the SUB-LESSEE against the LESSEE, except to the extent recognized under Article 10.2.

10.2 **Option To Rescind:** In the event that (i) the damage resulting from the Force Majeure renders the Leased Premises totally unfit for use or occupation for more than sixty (60) days, or (ii) the repairs required to render the Leased Premises fit for use and occupation are expected to last for more than ninety (90) days, or (iii) Force Majeure prevents any party from conducting its business or interferes with the operations of the Food Hall for a period of more than sixty (60) days, then either party shall have the right to rescind this Contract by written notice sent to the other party without need of any judicial action at least five (5) business days after the lapse of the applicable period. The rescission of this Contract shall be without prejudice to the rights and remedies of either party against the other in respect of any claim or liability antecedent to such rescission. The obligation to pay rent and other charges or amounts due hereunder shall continue to be in full force until the date such rescission is effected.

In the event, however, that (i) the damage resulting from the Force Majeure renders the Leased Premises unfit for use or occupation for sixty (60) days or less, or (ii) the repairs required to render the Leased Premises fit for use or occupation are expected to last for ninety (90) days or less, or (iii) either party fails to exercise the option to rescind this Contract within the 5-day period specified therefore, or (iv) Force Majeure prevents any party from conducting its business or interferes with the operations of the Food Hall for a period of sixty (60) days or less, then the rent due to the LESSEE (which shall be computed in accordance with Article 4) shall be reduced in proportion to the period the SUB-LESSEE has not been able to use the Leased Premises. Notwithstanding such proportionate reduction, all the other obligations of the SUB-LESSEE as provided hereunder shall remain in full force and effect. In no case shall any compensation or claim be allowed against the LESSEE by reason of the interruption, annoyance or injury caused to the SUB-LESSEE or its property arising from the rescission of this Contract, or any interruption in the use or possession of the Leased Premises, or the repair of any portion of the Food Hall or the Leased Premises.

10.3 **Strikes And Lockouts:** In the event that a picket line is established in the Leased Premises or in the vicinity thereof due to a labor dispute involving the SUB-LESSEE or arising in any way from the conduct of the LESSEE's business, the LESSEE, in its sole discretion and by written notice, may require the SUB-LESSEE to pay for any additional cost the LESSEE may incur in hiring additional security guards, maintaining the cleanliness of the Leased Premises and the Food Hall or in contracting for such other services as may be required for the well-being, security and welfare of the other lessees in the Food Hall. In the event that the SUB-LESSEE is prevented from conducting its business in the Leased Premises due to a strike, lockout, labor dispute or any other analogous activity involving the LESSEE or other lessees, or due to an accident or cause beyond the control of the LESSEE, the SUB-LESSEE hereby unconditionally relieves and releases the LESSEE from any and all liabilities in connection with or arising out of such occurrence(s). This Article shall be without prejudice to the rights of either party to terminate this Contract pursuant to Article 10.2. In addition, if in the LESSEE's opinion the duration and/or conduct of the strike or lock-out prejudices the operation of the Food Hall or the tenants adjacent to the LESSEE, the LESSEE shall have the right to terminate the lease, and Article 11.2 shall therefore become applicable.

ARTICLE 11 - TERMINATION AND ITS CONSEQUENCES

11.1 **Events Giving Rise To Default And Termination:** The LESSEE shall have the right to cancel or terminate this Contract upon the occurrence of any of the following events:

- (a) the term (or renewal) of this lease shall have expired pursuant to Article 2.1, or the SUB-LESSEE shall have failed to return and surrender the Leased Premises in accordance with Article 7.19;
- (b) the Leased Premises shall be closed, deserted or unoccupied for a continuous period of fifteen (15) calendar days;
- (c) the SUB-LESSEE shall fail to settle the entire rent or any other amount due hereunder for a period of forty-five (45) calendar days;
- (d) any of the LESSEE's representations and warranties as specified hereunder shall prove false in any material respect when made;
- (e) the SUB-LESSEE (if the latter is a natural person) shall have died or the corporate existence of the SUB-LESSEE (when organized as corporation or partnership) shall have ceased;
- (f) the principal stockholder(s) or owner(s) of the SUB-LESSEE (when organized as a corporation or partnership) on the date hereof shall have changed or shall have ceased to own or control a majority of shares or interest in the LESSEE, whether through voluntary disposition, merger, consolidation, restructuring, bankruptcy, liquidation or otherwise, and the new principal stockholder(s) or owner(s) controlling the SUB-LESSEE shall not be acceptable to the LESSEE, or the LESSEE shall be unwilling to continue the lease with the SUB-LESSEE as owned or controlled by such new stockholder(s) or owner(s) for any reason;
- (g) the SUB-LESSEE shall become insolvent or be unable to pay its debts when due or shall commit or permit any act of bankruptcy under the applicable law;
- (h) the occurrence of any other event which entitles the LESSEE to exercise its right to cancel or terminate this lease pursuant to other provisions in this Contract and Annex B.

11.2 **Consequences Of Default** - Upon the occurrence of any of the foregoing events, the LESSEE shall be entitled to exercise any of the following remedies, alternatively or cumulatively, in conjunction with or separately, at its discretion, from any other right or remedy granted hereunder or under the law:

- (a) The SUB-LESSEE hereby appoints the LESSEE as its attorney-in-fact with the following powers and functions, exercisable upon the occurrence of any of the events specified in Article 11.1: shall have the right to (i) open, enter, padlock, secure, enclose or fence in the Leased Premises, and/or discontinue the supply of public utilities and services to the Leased Premises, or otherwise take full and complete physical possession and control of the Leased Premises; (ii) assume ownership and take full control and possession of all alterations, additions, improvements or installations placed in or on the Leased Premises which cannot be removed without defacing or injuring any ceiling, floor, wall or any portion of the Food Hall or the Leased Premises, (iii) take an inventory and assume ownership of the equipment, furniture, articles or merchandise found or located in the Leased Premises which may be removed there from without defacing or injuring any ceiling, floor, wall or any portion of the Food Hall or Leased Premises; (iv) to dispose of said properties in a public sale and to apply the proceeds thereof to the payment of any liability and/or indebtedness due to the LESSEE from the SUB-LESSEE, including reasonable expenses incurred by the LESSEE in connection with such sale. The appointment of the LESSEE as attorney-in-fact is considered coupled with an interest, and hence is irrevocable.
- (b) The LESSEE shall be entitled to collect from the SUB-LESSEE, and the SUB-LESSEE shall continue to be liable for, the rental of the unexpired period of the lease term and the penalty and interest charges due thereon (as applicable), unless the SUB-LESSEE gives a notice to pre-terminate the lease within sixty days (60) prior to effective date of pre-termination. The entire security constituted under Article

4.4 shall be forfeited in favor of the LESSEE, and the SUB-LESSEE shall continue to be liable for all amounts which shall be due from it as provided hereunder. All these amounts shall be due to the LESSEE in addition to whatever damages, whether actual or consequential, the LESSEE may have suffered or incurred from the termination of this Contract. In no case, shall any amount due hereunder from the SUB-LESSEE be applied against the additional security provided by the SUB-LESSEE under Article 4.4, it being understood that the entire amount thereof shall accrue by virtue of forfeiture in favor of the LESSEE.

- (c) Should the LESSEE be compelled to seek judicial relief against the SUB-LESSEE due to the SUB-LESSEE's default on this contract, the latter shall, in addition to the damages mentioned above, pay an amount equivalent to 20% of the amount claimed in the complaint, as attorney's fees (with a minimum of ₱50,000.00), and the costs of litigation and other expenses which the law may entitle the LESSEE to recover from the SUB-LESSEE.

ARTICLE 12 - GENERAL PROVISIONS

12.1 **Expropriation:** In the event that the Leased Premises or any part of the Food Hall is expropriated during the period of this lease by any instrumentality of the Government or by any other entity with authority to exercise such power, either party may rescind this Contract upon giving the other party thirty (30) days' prior written notice thereof, without incurring any liability or providing the other party with any basis for an action for damages. In case of such expropriation, the SUB-LESSEE hereby unconditionally relieves and releases the LESSEE from any and all liability under this Contract in connection with or arising out of such expropriation proceedings and agrees that the compensation to be received by the LESSEE shall belong to it wholly as owner of the Leased Premises, without prejudice to whatever recourse the SUB-LESSEE may have against the expropriating entity on account of damage done or caused to it or its properties by reason of such expropriation.

12.2 **Non-Waiver:** The failure of any party to insist upon a strict performance of any of the terms, conditions and covenants hereof shall not be deemed a relinquishment or waiver of such terms, conditions or covenants, nor shall it be construed as a condonation of any subsequent breach or default of the terms, conditions and covenants hereof, which terms, conditions and covenants shall continue to be in full force and effect. The subsequent acceptance of rent by the LESSEE shall not be deemed to be a waiver of any prior breach by the SUB-LESSEE of any term, covenant or condition for this lease, regardless of LESSEE's knowledge of such prior breach at the time of acceptance of such rent. No waiver by the LESSEE of any of its rights under this Contract shall be deemed to have been made unless expressed in writing and signed by the LESSEE.

12.3 **Notice:** Where demand or notice is required to be given under this Contract, notice sent to the SUB-LESSEE at the Leased Premises or at the address specified above by registered mail or by personal delivery, shall be considered sufficient compliance with the requirement of notice or demand. Notice to the LESSEE shall be at the LESSEE'S Company address as specified in this contract or at any address any amendment of this contract may specify.

12.4 **Law And Venue Applicable:** This Contract shall be construed, interpreted and governed by the laws of the Philippines. Each party irrevocably submits to the jurisdiction of the courts in Makati for the purpose of enforcing any right or obligation under or arising out of this Contract.

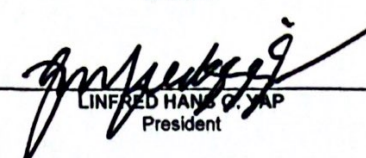
12.5 **Entire Agreement:** This Contract constitutes the complete understanding between the parties with respect to the subject matter hereof and supersedes any prior expression of intent, representation or warranty with respect to this transaction. This Contract may be amended but only with an instrument in writing signed by the parties.

12.6 **Additional Terms and Conditions:** This lease shall be subject to the additional terms and conditions specified in Annex B. All the Annexes of this Contract constitute integral parts hereof.

12.7 **Severability:** If any one or more of the provisions of this Contract is declared invalid or unenforceable in any respect under any applicable law, the validity, legality or enforceability of the remaining provisions contained herein shall not in any way be affected or impaired.

IN WITNESS WHEREOF, the parties hereto have caused these presents to be signed on the dates and place hereinafter inscribed.

COMMON GROUND FOOD SPECIALISTS INC.
LESSEE


LINFRED HANS O. YAP
President

Attorneys-in-Fact

MATCHANESE INC.
SUB-LESSEE


CRISTOPHER DAVID
PRESIDENT


PAUL MARTIN DAVID
TREASURER


BEATRICE GRACE BOLDO
DIRECTOR

Signed In The Presence Of:

(Printed name below signature)

(Printed name below signature)

ACKNOWLEDGMENT

REPUBLIC OF THE PHILIPPINES
MANILA) S.S.

I certify that on this date before me, a notary public duly authorized in the city named above to take acknowledgments, personally appeared:

NAME COMPETENT EVIDENCE OF IDENTITY DATE/PLACE ISSUED

COMMON GROUND FOOD SPECIALISTS INC.

Represented by:

LINFRED HANS G. YAP

Passport No. P1983058B

June 18, 2019/DFA NCR EAST

who were identified by me through competent evidence of identity to be the same persons described in the foregoing instrument, who acknowledged before me that their respective signatures on the instrument were voluntarily affixed by them for the purposes stated therein, and who declared to me that they have executed the instrument as their free and voluntary act and deed and that they have the authority to sign on behalf of their respective principals. This Contract of Lease consists of 12 pages including this page where the acknowledgement is written, to which the Essential Provisions, Annexes A, B, and C have been attached. Each page of this Contract has been signed by the parties and their instrumental witness and sealed with my notarial seal.

Witness my hand and seal this OCT 31 2024

Doc. No. 21644
Page No. 11
Book No. XXIV
Series of 2024.

ATTY. MANUEL AGUIRO RODRIGUEZ II
Notary Public for City of Manila - Until Dec. 31, 2024
Notarial Commission No. 2023-065
2nd Floor Midland Plaza Hotel, Adriatico St., Ermita, Manila
I.B.P. No. 3292011- Dec. 16, 2023 for year 2024
P.T.R. No. 1535348- Jan. 3, 2024 at Manila
Roll No. 68732/MCLE Compliance No. VII-0005642- 4/14/2025

SECOND ACKNOWLEDGMENT

REPUBLIC OF THE PHILIPPINES)
MANILA) S.S.

I certify that on this date before me, a notary public duly authorized in the city named above to take acknowledgments, personally appeared:

NAME COMPETENT EVIDENCE OF IDENTITY DATE/PLACE ISSUED

MATCHANESE INC.

TIN: 010-757-989-00000

Represented by:

CRISTOPHER DAVID

DRIVER'S LICENSE: N42-20-103017

BEATRICE GRACE BOLDO

PASSPORT NO.: P6591063A

PAUL MARTIN DAVID

DRIVER'S LICENSE: N02-20-105255

who were identified by me through competent evidence of identity to be the same persons described in the foregoing instrument, who acknowledged before me that their respective signatures on the instrument were voluntarily affixed by them for the purposes stated therein, and who declared to me that they have executed the instrument as their free and voluntary act and deed and that they have the authority to sign on behalf of their respective principals. This Contract of Lease consists of 11 pages including this page where the acknowledgement is written, to which the Essential Provisions, Annexes A, B, and C have been attached. Each page of this Contract has been signed by the parties and their instrumental witness and sealed with my notarial seal.

Witness my hand and seal this OCT 31 2024

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Series of 2024

ATTY. MANUEL ABAYO RODRIGUEZ II
Notary Public for City of Manila - Until Dec. 31, 2024
Notarial Commission No. 2023-1105
2nd Floor Midland Plaza Hotel, Adriatico St., Ermita, Manila
I.B.P. No. 329200- Dec. 16, 2023 for year 2024
P.T.R. No. 153F348-Jan. 3, 2024 at Manila
Roll No. 68732/MCLE Compliance No. VII-0005642- 4/14/2025

ESSENTIAL PROVISIONS

LESSOR: **SM KEPPEL LAND INC.**

LESSEE: **COMMON GROUND FOOD SPECIALISTS INC.**

SUB-LESSEE: **MATCHANESE INC.**

TERM OF LEASE: **Start of lease: SEPTEMBER 1, 2024**
Expiration date: AUGUST 31, 2026

LOCATION/AREA: **UNIT 5, Corner Market Food Hall, 2nd Floor, The Podium, ADB Corner Julia Vargas Ave., Ortigas Center, Mandaluyong City / 17 sqm.**

USE / SHOP NAME: **MATCHANESE**

LESSEE'S OBLIGATIONS:

Rent: A monthly Minimum Rent per square meter equivalent to:

Period	Rent
Start of operations or SEPTEMBER 1, 2024, whichever date comes first up to AUGUST 31, 2025	P 3,300.00 / sqm or 15% of sales, whichever is higher, PLUS applicable VAT.
SEPTEMBER 1, 2025, whichever date comes first up to AUGUST 31, 2026	P 3,630.00 / sqm or 15% of sales, whichever is higher, PLUS applicable VAT.
Subject to annual escalation	

Construction Bond: Equivalent to one (1) month's Minimum Rent or **P 51,600.00**, payable prior to construction or renovation. (Art. 4.3; Annex B)

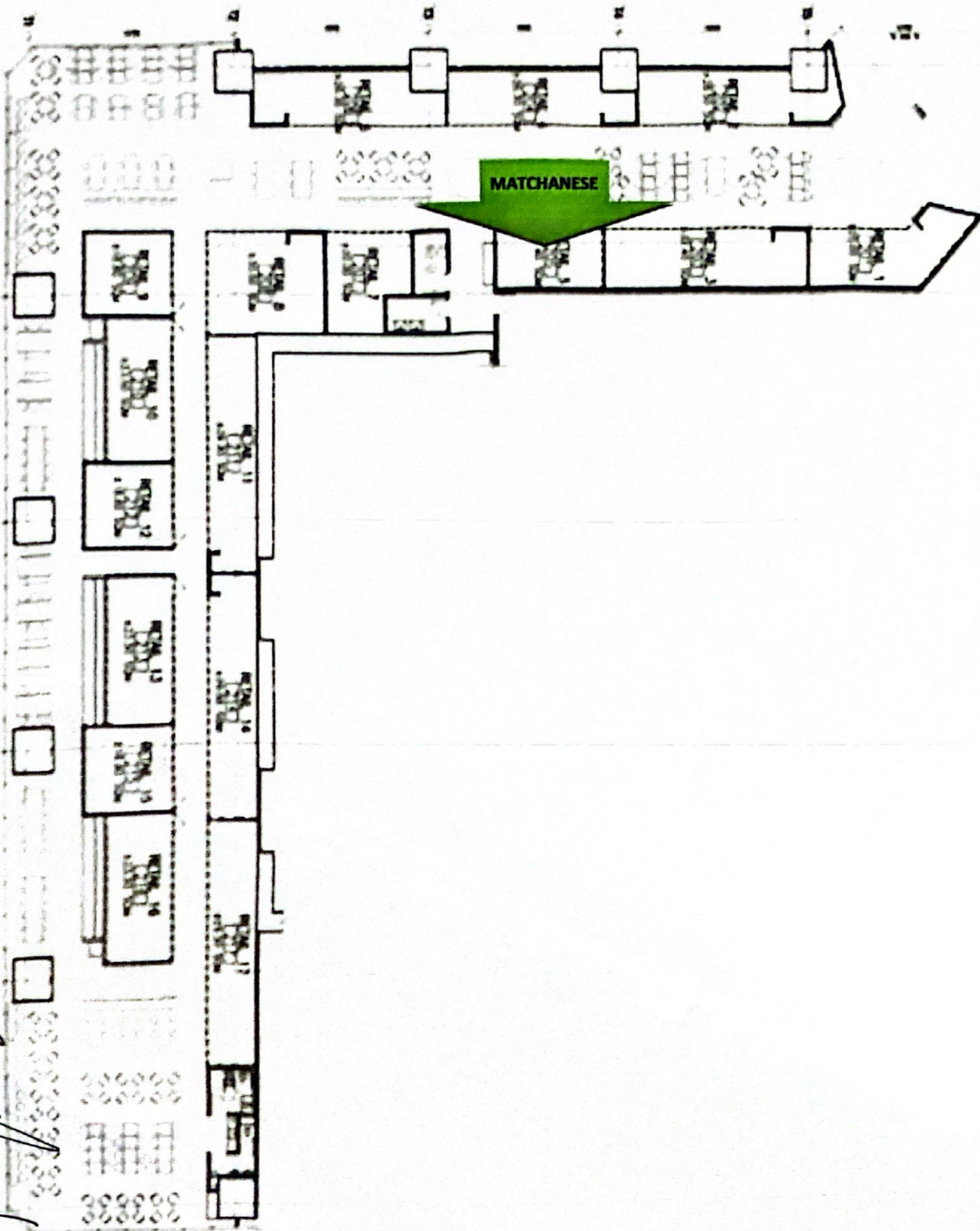
Additional Security: Five (5) months Minimum Rent or **P 258,000.00** should be maintained at this level at all times; subject to adjustment if Fixed Rent increases; payable on date specified in the applicable statement of account (Art. 4.4; Annex B).

General Leasing Expenses: payable on date specified in the applicable statement of account (Arts. 4.7, 4.8, 4.9, 6.2; Annex B):

Charges	Rates/Amounts
Common Area charges - from the date of Delivery of Leased Premises until the Rental Commencement Date	P400.00 per square meter (plus VAT)
Common Area charges - from Rental Commencement Date to AUGUST 31, 2026	P750.00 per square meter per month (plus VAT) or 5% of Gross Sales whichever is higher
Utilities	Actual consumption plus service charge
Emergency power	Service charge
Other General Leasing Expenses (e.g. advertising/promotional, etc.)	To be determined by LESSEE

Interest/Penalty: outstanding accounts are subject to interest of 2% and a penalty of 3% per month, to be computed daily (Art. 4.6; Annex B).

CORNER MARKET
THE LEASED PREMISES



Handwritten signature and initials

Additional Terms and Conditions

1. **Additional Defined Terms:** In addition to the terms defined in Article 1.1 of the Contract of Lease which shall continue to have the same meaning when used in this Annex, and as a supplement to the definitions of the terms already specified therein, the terms specified below shall have the meanings respectively set forth opposite them when used in the Contract of Lease and this Annex:

"Affiliate" means any corporation, partnership or other form of association (i) 20% or more of the voting shares of which are owned or Controlled directly or indirectly, by a party, or (ii) directly or indirectly Controlling such party, or (iii) Controlled by or under Common Control with such party.

"Control" (Including with correlative meanings, the terms "Controlling", "Controlled by" and under "Common Control") means the power to direct or cause the direction of the management and policies of any corporation, partnership or other form of association, whether through the ownership of voting stock by contract or otherwise.

"Rent" shall refer to the amount which will become due and payable to the LESSEE under Section 6 of this annex. The Rent which shall be due from the SUB-LESSEE on a regular monthly basis shall be referred to as "Rent".

"Fixed Stockroom Rent" shall refer to the amount specified under item 6(a) of this Annex B.

"Leased Premises" shall mean the total floor space leased to the SUB-LESSEE, measuring approximately 17 square meters, located at the Unit 2 of Corner Market Food Hall, Second Floor of the Podium Mall.

"Rental Commencement Date" shall refer to the date at which the obligation of the SUB-LESSEE to pay rent shall commence and at which the SUB-LESSEE shall commence retail operations in the Leased Premises, being SEPTEMBER 1, 2024 or the date the SUB-LESSEE actually commences retail operations in the Leased Premises, whichever date comes first; provided that, in the event that the LESSEE is unable to transfer physical possession of the Leased Premises on the date determined in accordance with this sub-article for any of the reasons specified in Article 2.2 of the Contract of Lease, the Rental Commencement Date shall refer to the date to be determined by the LESSEE after it has been able to acquire physical possession of the Leased Premises from the prior SUB-LESSEE thereof.

"Subsidiary" means any corporation, partnership or other form of association more than 50% of whose voting shares are owned by the relevant party.

2. **Term of the Lease:** This lease shall commence on SEPTEMBER 1, 2024 up to and until AUGUST 30, 2026. This lease may be renewed for another period of one (1) year(s) subject to the fulfillment of the conditions specified in Article 2.1 of the Contract of Lease. In addition to the fulfillment of the conditions under Article 2.1 of the Contract of Lease, the LESSEE may require the SUB-LESSEE, and the SUB-LESSEE shall accordingly undertake, to change, renovate or modify the interiors of the Leased Premises at such times and using concepts and designs as the LESSEE and the SUB-LESSEE may subsequently agree upon. In the event that the LESSEE and the SUB-LESSEE are unable to agree on the conditions for change or renovation, the LESSEE may exercise its right not to renew the lease.

3. **Date of Delivery Of Leased Premises:** In connection with Article 2.2 of the Contract of Lease, the LESSEE shall deliver physical possession of the Leased Premises on or before AUGUST 1, 2024. The SUB-LESSEE shall commence the construction of improvements on the Leased Premises within thirty (30) days from the date physical possession of the Leased Premises is delivered to the SUB-LESSEE. In the event that construction does not commence within such thirty-day period, then the LESSEE shall have the right to cancel this Contract, and exercise the rights granted to it by Article 12.2.

4. **Use of Leased Premises:** In connection with Article 3.1 of the Contract of Lease, the Leased Premises shall be used, occupied and operated exclusively by the SUB-LESSEE as an outlet for MATCHANESE, selling items as specified in Annex C. The SUB-LESSEE shall not change the name of the outlet as specified herein, or the type of items being sold in such outlet as specified in Annex C, without the prior written consent of the LESSEE.

5. **Rental Commencement Date:** The obligation of the SUB-LESSEE to pay monthly rent shall commence on the Rental Commencement Date.

6. **Rent:** From the Rental Commencement Date up to and until AGUST 31, 2025, the Rent which the SUB-LESSEE shall become liable for under the terms of the Contract of Lease on a regular monthly basis shall be in the amount of P 3,300.00 per square meter of the Leased Premises amounting to P 51,600.00 per month or 15% of sales, PLUS the applicable value added tax, whichever is higher.

From SEPTEMBER 1, 2025 up to AUGUST 31, 2026, the Rent which the SUB-LESSEE shall become liable for under the terms of the Contract of Lease on a regular monthly basis shall be in the amount of P 3,630.00 per square meter of the Leased Premises amounting to P 61,710.00 per month or 15% of sales, PLUS the applicable value added tax, whichever is higher.

If, however, retail operations in the Leased Premises do not commence after one (1) month from Rental Commencement Date, then the LESSEE shall be entitled to terminate the lease pursuant to Article 11 of the Contract. The SUB-LESSEE agrees that the amount of Fixed Rent due to the LESSEE shall not be subject to any deduction or offsetting (except deductions for withholding tax) without the prior written consent by the LESSEE.

The LESSEE shall be entitled to adjust annually the amount of the Fixed Rent to be due. The LESSEE shall give written notice of the Fixed Rent adjustments to the SUB-LESSEE at least seven (7) days prior to the start of the period specified in this sub-paragraph. The failure of the SUB-LESSEE to object to the Fixed Rent adjustments within such 7-day period shall be considered by the LESSEE as the SUB-LESSEE's acceptance of such adjustments. In the event that the SUB-LESSEE objects to the Fixed Rent adjustments, the LESSEE and SUB-LESSEE shall enter into negotiations in good faith to determine mutually acceptable adjustments in the Fixed Rent; provided that, in the event the LESSEE and SUB-LESSEE are unable to agree on such adjustments within the 7-day period specified herein, then the LESSEE shall be entitled to terminate the lease and exercise the rights granted to it by Article 11 of the Contract by reason of such termination. The Fixed Rent applicable during such 7-day period shall be the Fixed Rental prevailing prior to such 7-day period.

7. **Construction Bond and Additional Security:** In connection with Article 4.3 of the Contract of Lease, the amount of the construction bond due from the SUB-LESSEE shall be equivalent to one (1) month's Fixed Rent or (P 51,600.00). The amount of additional security due to the LESSEE under Article 4.4 shall be equivalent to five (5) months' Fixed Rent or (P 258,000.00).

The construction bond may be applied by the LESSEE to the SUB-LESSEE's outstanding accounts with the LESSEE, provided that, all construction-related charges and requirements have been met or complied with. The SUB-LESSEE's failure to fully comply with the construction requirements of the LESSEE and/or its duly-authorized representative shall constitute a ground for termination of the lease or its non-renewal.

Additional Security may be forfeited in the case of early termination of Contract under the LESSEE'S discretion.

8. **General Leasing Expenses:** Effective upon Date of Delivery of Leased Premises, the monthly share of the SUB-LESSEE in the General Leasing Expenses pursuant to Article 4.7 of the Contract of Lease shall be as follows:

From Date of Delivery of Leased Premises until Rental Commencement Date:
Common Area Expenses P 400.00 per square meter (plus VAT)

From Rental Commencement Date to AUGUST 31, 2026:
Common Area Expenses P 750.00 per square meter (plus VAT) or 5% of Gross Sales (plus VAT), whichever is higher.

Ad and Promo Fees p 15,000.00 per year, Plus VAT

It is understood, however, that the above charges do not include the other General Leasing Expenses mentioned in Article 4.7 of the Contract of Lease, the rate of which cannot be determined by the LESSEE in advance.

9. **Operating Hours:** The SUB-LESSEE shall strictly adhere to the operating business hours of the Podium Mall. Unless the SUB-LESSEE is otherwise notified by the LESSEE of any change in the operating business hours of the Podium Mall, the SUB-LESSEE shall comply with the following operating business hours:

Daily 10:00 am to 10:00 pm

Pursuant to Article 10 of the Contract, non-compliance with the operating hour of the Podium Mall shall constitute a ground for the LESSEE to cancel or terminate the Contract.

10. **Additional Covenant:** The SUB-LESSEE undertakes to notify the LESSEE in writing prior to effecting any mortgage, pledge, assignment or transfer of the equipment, furniture and other items which are used for its business and retail operation.

11. **LESSEE's Right to Assign:** The LESSEE shall have the right to assign or transfer all or any of its rights and obligations under the Contract to any person without need of prior notice to the SUB-LESSEE or the SUB-LESSEE's consent and the SUB-LESSEE is deemed to have agreed to such an assignment.

12. **Advanced Notice of Termination:** In the case that the SUB-LESSEE decides to terminate this contract or to no longer renew the Lease upon Lease End date, SUB-LESSEE must provide written notice to the LESSEE at least Seventy-Five (75) Days before planned termination. Non-compliance shall constitute to absolute forfeiture of Additional Security.

13. **Lock-outs:** In the case that the LESSEE decides to award a party with a specific product lock-out, SUB-LESSEE shall comply with the aforementioned lock-out based on the agreement between LESSEE and the concerned party which shall be made known through inclusion in the Merchant Guidelines or a written notice sent to the Leased Premises.

- a) Should LESSEE award a Lock-out to a supplier of resellable, packaged goods, such as but not limited to, canned and bottled beverages, SUB-LESSEE shall limit offerings according to and source products from said supplier in the case that the SUB-LESSEE wishes to sell similar products.
- b) Should LESSEE award a Lock-out to a merchant a certain product or cuisine, SUB-LESSEE shall comply by not including any similar product that falls under the category of said Lock-out.



ANNEX C

Type:	• Food
Store Name:	MATCHANESE
Location/Building:	2 nd floor, Podium Mall, Mandaluyong
Product Origin: (Pls. Check)	☒ Local ☐ Foreign Franchise ☐ Local carrying imported brands

PRODUCT MIX:

FOOD: Please attach CONCEPT Paper and MENU

I shall abide with the following regulations of Common Ground Food Specialists Inc:

1. that **ONLY** products listed herein and **APPROVED** by of Common Ground Food Specialists Inc shall be sold in the store;
2. that Common Ground Food Specialists Inc reserves the right to disapprove certain products within the list stated herein;
3. that **ANY ADDITION** or **CHANGE** to product concept or mix shall require prior approval of Common Ground Food Specialists Inc

CONFORME/DATE:

CRISTOPHER DAVID
Printed Name/Signature of Owner

APPROVED BY/DATE:

[Signature]
Common Ground Food Specialists Inc.



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